NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH
(Video Conference)

PRESENT: JUSTICE TELAPROLU RAJANI – MEMBER JUDICIAL
ATTENDANCE-CUM-ORDER SHEET OF THE HEARING HELD ON 23.08.2022 AT 10.30 AM

TC/CP. Nos.	CA/IA No.	Section/ Rule	Name of Parties
CP(CAA)No.10/230/AMR/2022		230	Tagoor Laboratories Private Limited (Transferee Company)

Counsel for Petitioner(s):

Ries

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

Counsel for Respondent(s):

Ries

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

ORDER

CP(CAA)No.10/230/AMR/2022 is allowed, vide separate orders.

SD/-
JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH AT MANGALAGIRI

CP (CAA) No.10/230/AMR/2022
Connected with
CA (CAA) No.03/230/AMR/2021

In the matter of Section 230 to 232 of the Companies Act, 2013
AND
In the matter of Scheme of Amalgamation of **M/s.ANGELS PHARMA INDIA PRIVATE LIMITED**, the Transferor Company-1 (having its registered office in Hyderabad), **M/s.TAGOOR CHEMICALS PRIVATE LIMITED**, the Transferor Company-2 (having its registered office in Hyderabad) by **M/s.TAGOOR LABORATORIES PRIVATE LIMITED**, the Transferee Company (having its registered office in Andhra Pradesh)

In the matter of

M/s. Tagoor Laboratories Private Limited
Registered office at Survey No.29,
Tupakulagudem Pochavaram Panchayat,
Tallapudi Mandal, West Godavari,
Andhra Pradesh.
Represented by its Managing Director
Mr.Kasi Viswanadharaju Pericherla.

... Petitioner/Transferee Company

Date of pronouncement of order: 23.08.2022

CORAM

Justice Telaprolu Rajani, Member Judicial

Appearance:

For the Petitioners: Mr. M.Vijaya Kumar, PCS

Per: Justice Telaprolu Rajani, Member (Judicial)

ORDER

1. The present Company Petition is filed by M/s. Tagoor Laboratories Private Limited (Transferee Company) under Sections 230 & 232 of the Companies Act, 2013 seeking to permit the Transferor Companies for Scheme of Amalgamation (the Scheme for short) with the Transferee Company. Both the Transferor Companies registered offices are situated at Hyderabad and Transferee Company registered office is situated at Andhra Pradesh.

2. Briefly the facts are as follows:

   i. The Authorised Share Capital of the Petitioner/Transferee Company as on 31.03.2021 is Rs.100,000,000/- divided into 10000000 equity shares of Rs.10/- each. The issued, subscribed and paid up share capital is Rs.99,950,000/- divided into 9995000 equity shares of Rs.10/- each. The main objects of the Transferee Company are to buy, sell, import, export, consign, store, clean, recondition and develop or otherwise deal in all types of intermediates, chemicals, instruments, equipments, apparatus and accessories and to carry on scientific and technical researches, experiments etc.

ii. The Transferor & Transferee Companies are engaged in similar business. The benefits of the Scheme of Amalgamation are to help in achieving improved efficiency and optimum advantages and also to achieve greater efficiency and synergy in operations by combining the activities of the Transferor Companies with the Transferee Company; the amalgamated entity will benefit from optimum utilization of manpower through improved organizational capacity and leadership, arising from the combination of people from the Transferor Companies and Transferee Company which have diverse skills, talent; the amalgamated entity shall reduce fixed costs by removing duplicate departments, operations and lower the cost of the company relative to the same revenue stream and shall thus increase the profit margins; the amalgamation will result in better economic control, increased financial strength and flexibility and would enhance the ability of the amalgamated entity to undertake large projects, thereby contributing to enhancement of future business potential; cost savings are expected to flow from more focused operational efforts, rationalisation, standardisation and simplification of business processes, productivity and improvements, improved procurement and the elimination of duplication and rationalization of administrative expenses.

iii. The Board of Directors of the Petitioner Company approved the scheme at its respective board meetings held on 15.11.2021. The appointment date is 01.04.2021. Consent, by way of Affidavit and No Objection to the Scheme supported by Board, was also obtained from all the Equity Shareholders, Secured Creditors and Un-Secured Creditors of the Petitioner Company.

iv. The Tribunal, by order dated 06.05.2022, dispensed with the requirement of holding meetings of all Equity Shareholders, Secured Creditors & Unsecured Creditors of the Petitioner Company. The scheme of amalgamation was approved by the board of directors and others.

3. Heard the Learned Counsel appearing for the Petitioner, RD and OL and perused the records.

4. The Regional Director (RD) filed his report dated 08.08.2022 and raised the following objections and the Petitioner Company replied to the same as detailed below:

S.No.	RD's Observations	Reply of the Petitioner Companies by way of affidavit dated **08.08.2022**

1	The Directorate has received letter dated 28.07.2022 from the ROC, Andhra Pradesh by pointing out certain observations as under:- a) The Regional Director (RD) sought this Tribunal to direct the Petitioner Company to preserve its books of accounts and papers and records and shall not be disposed of without the prior permission of the Central Government in terms of Section 239 of the Companies Act, 2013.	Undertaking regarding given by the Petitioner Company: a. To preserve the books of accounts, papers and records of both the Petitioner Companies and not to dispose of them without the prior permission of the Central Government in terms of Section 239 of the Companies Act, 2013. b. To ensure statutory compliance of all applicable laws and also on sanctioning of the present scheme the applicant company shall not be absolved for any of its statutory
	b) The Regional Director (RD) sought this Tribunal to direct the	

	Petitioner Company to ensure statutory compliance of all applicable laws and also on sanctioning of the present scheme the applicant company shall not be absolved for any of its statutory liability in any manner.	liabilities in any manner. c. To file confirmation of the scheme of amalgamation in Form INC-28 with the RoC, AP within the specified time period. d. To file an application with the RoC, AP indicating the revised authorised capital and proof of paying prescribed fees due on revised after setting off the fee already paid by the Transferor Company 2. As and when the demand arises from the Income Tax Department, Transferee Company will
	c) The Regional Director (RD) sought this Tribunal to direct the Petitioner Companies, involved in the scheme to comply with Rule 17(2) of Companies (Compromise, Arrangement and Amalgamation) Rules, 2013 with respect to filing of order for confirmation of scheme	

	to be filed in Form No.INC-28 with the concerned office of RoC by the Petitioner Company.	pay/settles ready to pay the said dues.
	d) The Regional Director (RD) sought this Tribunal to direct the Petitioner Transferee Company to file an application with RoC indicating the revised authorised capital and proof of paying prescribed fees due on revised capital after setting of that fee already paid by Transferor Companies.	
2	The Regional Director (RD) sought this Tribunal to direct the Petitioner Company to furnish an	

	undertaking that as and when the demand arises from the Income Tax Department, Transferee Company will pay/settles ready to pay the said dues.	

5. The Regional Director (RD), after considering the said reply by the Petitioner, did not raise any further objection. The Official Liquidator (OL) made certain observations and the Petitioner Company has filed reply to the report of the Official Liquidator (OL) which is as follows;

S.No	Observations of Official Liquidator filed on 29.07.2022	Response of the Petitioners Company filed on 08.08.2022
1	Clause 11.1 of Part-II of the Scheme seeks to protect the employees of the Transferor Companies, who are in employment as on the effective date. Hence, the Hon'ble Tribunal may be pleased to direct the Transferor and Transferee Companies to submit an undertaking (on an Affidavit duly notarized) to this Hon'ble Tribunal	1. In response to the observation the Petitioner Company given an undertaking (on affidavit duly notarized) stating that there will be no retrenchment of any employee who were in service as on

	to the effect that there would be no retrenchment of any employee who were in service as on appointed date as well.	appointed date as well. 2. In reply to point 6 the Petitioner Company undertake to comply with the provisions of the Section 232(3)(i) of the Companies Act, 2013 and pay the difference fee, if any, after setting off the fee already paid by the Transferor Companies on its respective capitals.
2	Clause 17 of Part IV of the Scheme, the Transferee Company shall account for the merger of the Transferor Companies with the Transferee Company in accordance with the "Pooling of Interest Method" as per Accounting Standard 14 notified under Section 133 of the Companies Act, 2013 read with relevant rules issued thereunder and in accordance with generally accepted accounting principles.	
3	There are no proceedings pending under the provisions of the Companies Act, 2013 against the Petitioner Companies as per the information provided by them vide letter dated 25.07.2022.	

4	As per the Balance Sheet as at 31.03.2021 of the Transferor Company-1, the Transferor Company-1 is the wholly owned subsidiary of the Transferee Company.	
5	The Petitioner Companies are closely held having mostly common shareholders.	
6	Clause 16 of Part-III of the Scheme provides for clubbing of Authorized Capital. However, as per the said Clause, the authorized capital of the Transferee Company shall automatically stand increased without any further fees/stamp duty payable to the Registrar of Companies. This term in the Scheme is not in line with the provisions of Section 232(3)(i) of the Companies Act, 2013. In this regard, the Transferee Company shall comply with the provisions of	

	the aforementioned section and pay the difference fee, if any, after setting off the fee already paid by the Transferor Companies on its respective capital.	
7	The Transferor Company-1 & 2 comes under the jurisdiction of Hon'ble NCLT, Hyderabad Bench and hence, the Hon'ble Tribunal may sanction the Scheme subject to the orders to be obtained from the Hon'ble NCLT, Hyderabad Bench as well.	

6. Finally the Official Liquidator (OL) did not raise any objections against accepting the Scheme of Amalgamation of the Petitioner Company.

7. Considering the entire facts and circumstances of the case and on perusal of the Scheme, reports of the Regional Director, Official Liquidator, and reply/undertakings of the Petitioner Company thereon and the documents produced on record, the Scheme of Amalgamation appears to be fair and reasonable and is not contrary to public policy and not in violation of any provisions of law. All the statutory

compliances have been made under Section 230 to 232 of the Companies Act, 2013.

8. The Company Petition is allowed with the following directions:-

a) The Scheme of Amalgamation (Copy of the Scheme enclosed at Page No.249 to 273 of the Petition)is hereby sanctioned and it is declared that the same shall be binding on the Petitioner Companies and their respective Shareholders and Creditors, Employees and all concerned under the Scheme.

b) The Scheme shall become effective from the Appointed Date i.e., 01.04.2021 and shall be made operational from the date of filing of the orders with the Registrar of Companies.

c) While approving the Scheme as above, it is further clarified that this order will not be construed as on order granting exemption from payment of stamp duty or taxes or any other charges, if payable, as per the relevant provisions of law or from any applicable permissions that may have to be obtained or, even compliances that may have to be made as per the mandate of law.

d) The Petitioner Company is directed to preserve their books of accounts and papers and records and not to dispose of without the

prior permission of the Central Government in terms of provisions of Section 239 of the Companies Act, 2013.

e) All concerned authorities to act on a copy of this order along with the Scheme duly authenticated by the Registrar of this Tribunal. The Registrar of this Tribunal shall issue the certified copy of this order along with the Scheme immediately.

f) The Petitioner Company is directed to take appropriate steps to submit the said Scheme to Registrar of Companies within 30 days from the date of receipt of copy of this order.

g) The Petitioner Company is directed to issue newspaper publication with respect to approval of Scheme of Amalgamation, in the same newspaper in which previous publications were issued in order to ensure transparency/dissemination of complete information to all concerned parties about the approval granted by the Tribunal for the Scheme as proposed.

h) The Petitioner Company is further directed to take all consequential and statutory steps required in pursuance of the approved Scheme of Amalgamation under the provisions of the Act.

j) The Petitioner Company is directed to strictly adhere to the above directions and applicable provisions of the Companies Act.

9. Accordingly, the Scheme stands sanctioned and the Company Petition bearing CP (CAA) No.10/230/AMR/2022 stands disposed of.

SD/-
JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

Swamy Naidu